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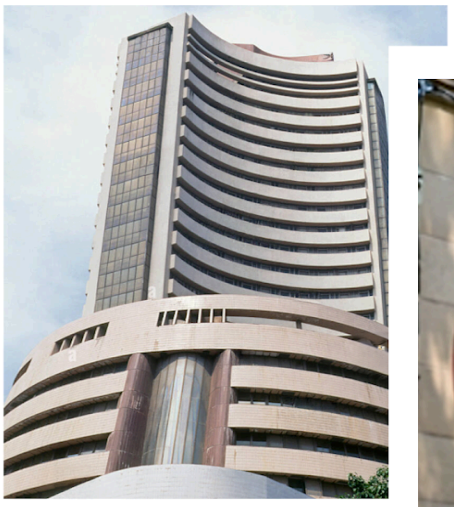
General Knowledge

Indian Economy

STUDY NOTES

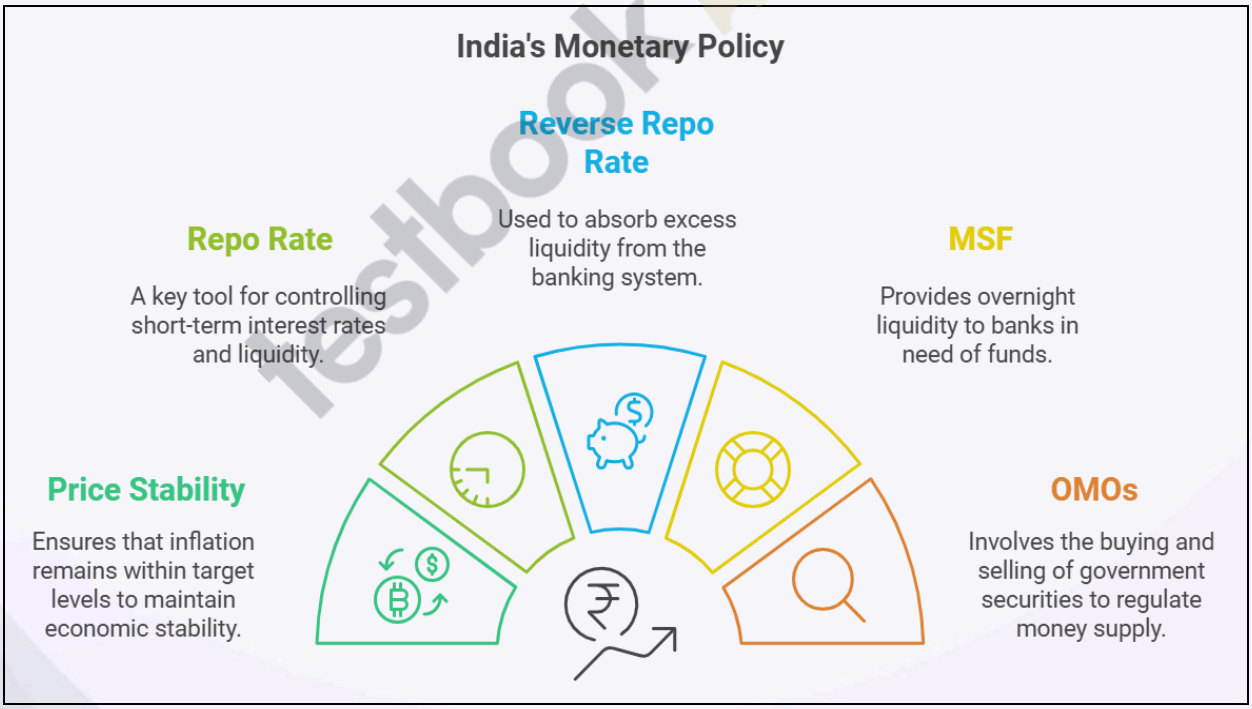
Monetary Policy



Monetary Policy

Monetary Policy in India: A Detailed Overview

- Monetary Policy refers to the actions and strategies employed by a nation's central bank or monetary authority to manage the money supply, control inflation, stabilise the currency, and influence interest rates to achieve macroeconomic objectives like price stability, economic growth, and employment.
- The **Reserve Bank of India (RBI)** is responsible for formulating and implementing monetary policy in India.
- **The primary objective of monetary policy** in India is to ensure **price stability** while promoting **economic growth**.
- It also aims to maintain **liquidity** management in the economy to ensure that inflation is manageable.



Monetary Policy Framework in India

- **The Monetary Policy Framework in India is designed to:**

- The RBI aims to keep **inflation** in check, primarily through controlling the money supply and influencing **interest rates**.
- By adjusting interest rates, the RBI influences **borrowing costs** for businesses and consumers, thereby affecting **investment** and **consumption** levels.
- The overarching goal is to ensure price stability (targeting low and stable inflation) to enhance the predictability of economic conditions.

Inflation Targeting Framework

- India follows an **Inflation-targeting** approach, where the government and the **RBI** have agreed to target a specific inflation rate.
- Currently, the inflation target is set at **4%** with a tolerance band of **+/- 2%**, meaning the inflation rate can range from **2%** to **6%** without breaching the target.

The government reviews this target every five years, in consultation with the RBI, as per the provisions of the RBI Act, 1934.

- Consumer Price Index (CPI) is used to measure inflation, and it is compiled by the National Statistical Office (NSO).

Instruments of Monetary Policy in India

The RBI uses various tools to control inflation, influence interest rates, and regulate liquidity in the economy.

Repo Rate

- The Repo Rate was introduced as a part of the Liquidity Adjustment Facility (LAF) in **2000**.
- The Repo Rate is the rate at which the RBI lends money to commercial banks for short-term periods, typically overnight, against government securities.
- Increasing the repo rate makes borrowing expensive, which reduces the money supply and controls inflation. Conversely, decreasing the repo rate makes borrowing cheaper, which increases the money supply and encourages economic growth.

Reverse Repo Rate

- The Reverse Repo Rate was also introduced in **2000** along with the Repo Rate, as part of the **Liquidity Adjustment Facility (LAF)**.
- The Reverse Repo Rate is the rate at which the RBI **borrows money** from commercial banks, usually to absorb excess liquidity from the banking system.
- When the RBI increases the reverse repo rate, it encourages banks to park more funds with the RBI, thus **decreasing** the **money supply** in **circulation**.

Marginal Standing Facility (MSF)

- Introduced in **2011**, the MSF allows scheduled commercial banks to borrow additional funds (over and above the repo rate) from the RBI against government securities.
- This is offered at a penal rate, higher than the repo rate.
- MSF acts as a safety valve for the banking system during liquidity shortages and provides an additional borrowing facility when normal repo channels are insufficient.

Bank Rate

- The Bank Rate was initially set under the **Reserve Bank of India Act, of 1934.**
- The Bank Rate is the rate at which the RBI lends to commercial banks for long-term loans.
- The introduction of the Liquidity Adjustment Facility (LAF) has made the Bank Rate somewhat dormant, as the MSF and repo rates are now more commonly used.
- A change in the bank rate affects the cost of borrowing and influences overall liquidity.

Cash Reserve Ratio (CRR)

- The CRR was introduced as a part of the **Reserve Bank of India Act, of 1934.**
- The CRR refers to the minimum percentage of a commercial bank's total deposits that it must hold as reserves with the RBI.

- Increasing the CRR reduces the funds available for lending, thus reducing the money supply. Decreasing the CRR increases the funds available for lending, thus increasing the money supply.

Statutory Liquidity Ratio (SLR)

- The SLR was introduced under the **Reserve Bank of India Act, of 1934**, along with the CRR.
- The SLR is the minimum percentage of a commercial bank's net demand and time liabilities that it must maintain in the form of liquid assets such as government securities.
- A higher SLR reduces the amount of money available for lending, whereas a lower SLR provides more room for banks to extend credit.

Open Market Operations (OMOs)

- OMOs were initiated in **1992** by the RBI.
- OMOs involve the buying and selling of government securities in the open market by the RBI.
- When the RBI buys government securities, it injects money into the economy, increasing liquidity. Selling securities pulls money out of circulation, thus controlling inflation.

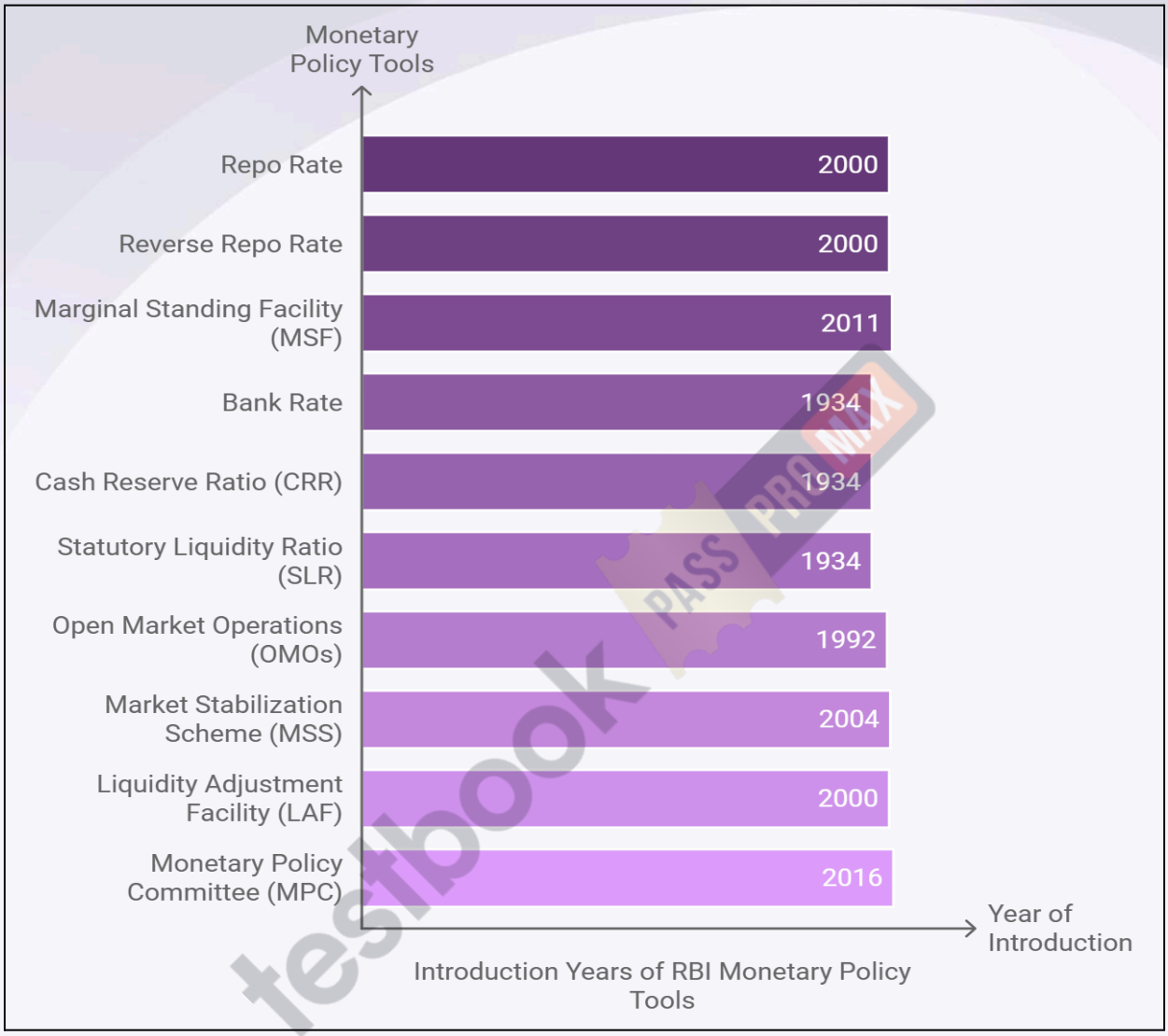
Market Stabilization Scheme (MSS)

- The MSS was introduced in **2004** by the RBI.
- This is used by the RBI to absorb **excess liquidity** in the market, particularly when there are large capital inflows. It aims to stabilize the exchange rate by managing liquidity.
- MSS helps in sterilizing the effects of capital inflows that might lead to inflation or excessive appreciation of the currency.

Liquidity Adjustment Facility (LAF)

- The LAF was introduced in **2000**. The LAF consists of **short-term repo** and **reverse repo operations**.
- It allows the RBI to inject or absorb liquidity on an overnight basis.

- The LAF helps the RBI manage short-term liquidity and achieve its monetary policy objectives.



Monetary Policy Committee (MPC)

- The Monetary Policy Committee (MPC) was formally established by the Government of India under the **Reserve Bank of India Act, 1934**, through the **Amendment Act of 2016**. Before its establishment, monetary policy decisions were solely made by the RBI's Governor and the Monetary Policy Department.

Key Features of the MPC:

- The MPC consists of six members:

- The **Governor of the RBI** (Chairperson)
- **Two RBI officials** (including the Deputy Governor in charge of monetary policy)
- Three external members, appointed by the Government of India, with expertise in **economics**, **banking**, or **finance**.

- The primary objective of the MPC is to set the policy interest rate (such as the repo rate) to achieve the inflation target of 4% (+/- 2%) as mandated by the Government of India.

Meetings and Decisions:

- The MPC meets at least once every two months (6 times a year).
- The committee discusses economic conditions, inflation, and other macroeconomic factors to determine monetary policy actions.

The establishment of the MPC enhances the independence of the RBI in its decision-making process and ensures that monetary policy is set transparently, with a focus on controlling inflation.

India's monetary policy with those of other major economies:

Feature	India	USA (Federal Reserve)	EU (European Central Bank)	UK (Bank of England)
Monetary Policy Goal	Price stability & economic growth	Price stability, maximum employment	Price stability & economic growth	Price stability & economic growth
Inflation Targeting	Yes, 4% (± 2%) CPI	No fixed target (dual mandate)	Below, but close to 2% (HICP)	2% CPI target
Primary Policy Rate	Repo Rate	Federal Funds Rate	Main Refinancing Operations (MRO)	Bank Rate
Inflation Measure	CPI (Consumer Price Index)	PCE (Personal Consumption Expenditures)	HICP (Harmonized Index of Consumer Prices)	CPI (Consumer Price Index)
Central Bank's Independence	High (independent from government)	High (independent from government)	High (independent	High (independent from government)

			from EU institutions)	
Liquidity Management	Through repo rate, MSF, LAF, OMOs	Through open market operations, discount rate	Through MRO, LTRO, and TLTRO	Through open market operations and QE
Interest Rate Policy	Based on repo rate and MSF rates	Federal Funds Rate, Discount Rate	MRO, deposit facility, and lending facility	Bank Rate and QE (Quantitative Easing)
Response to Economic Crises	Aggressive rate cuts, liquidity support	Quantitative easing, rate cuts	Interest rate cuts, quantitative easing	Interest rate cuts, QE programs